

Gulf Oil Lubricants India Ltd

Concall-Tracker report · Screener ticker GULFOILLUB (NSE: GULFOILLUB, BSE: 538567) · 10 earnings-call transcripts read (FY25 → Q1 FY27) · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Gulf Oil blends and sells **lubricants** in India under the global Gulf brand — engine oils for motorcycles, cars, trucks and tractors, plus industrial and marine oils — along with **AdBlue** (the fluid modern diesel engines need to cut emissions) and a small electric-vehicle charging and battery business. In plain terms: it sells the oil that keeps India's vehicles running, competing on brand and distribution against much larger state-owned oil companies. It is part of the Hinduja group.

Figure	Value	Plain-English read
Market capitalisation	₹5,560 cr (price ₹1,122)	What the whole company is worth. The share has ranged ₹864–1,331 over the past year.
Price-to-earnings / dividend	14.2x ; yield 4.55%	About 14 times last year's profit, with an unusually high dividend yield — the payout ratio has run 55–65%. This is a cash-returning business, not a capital-hungry one.
Q1 FY27 revenue (Jun'26 qtr)	₹1,327 cr, up 30.6% YoY	The first quarter above ₹1,300 cr. Note volumes grew 17% — the rest of the revenue rise is base-oil cost being passed through into prices.
Q1 FY27 core lubricant volume	48,000 KL, up 17% YoY	The number that matters most. The Indian lubricants market grows about 3–4% a year, so 17% means Gulf is taking share, not riding a wave. The previous record was 45,000 KL last quarter.
Q1 FY27 operating profit	₹170 cr, margin ~13%	Up 35% year-on-year, with margin held at 12.9–13% — inside management's long-standing 12–14% guided band, even while absorbing higher base-oil costs.
Q1 FY27 net profit	₹121 cr consolidated (₹127.5 cr standalone)	Highest ever on both measures; earnings per share ₹24.87. The gap between the two figures is the new-energy subsidiaries, which are still investing.
FY26 (full year)	₹4,056 cr revenue, ₹514 cr EBITDA	Crossed ₹4,000 cr for the first time. Core lubricant volumes 168,000 KL (double-digit growth), AdBlue 151,000 KL (+8%).
Five-year revenue path	₹2,192 → 2,999 → 3,301 → 3,631 → 4,056 cr	FY22 to FY26 — steady, uninterrupted growth of roughly 17% a year compounded, with operating margin flat at ~13% throughout.
Return on capital	ROCE 25.9%; ROE 24.1%	For every ₹100 of capital the business earns about ₹26 a year before tax — strong, and achieved with a blending operation that needs little heavy plant.
Cash	₹1,027 cr on the balance sheet	Crossed ₹1,000 cr for the first time at the end of FY25. Cash from operations was ₹423 cr that year, against ₹348 cr the year before.

2. Concall coverage

Ten consecutive quarterly earnings-call transcripts were read, oldest to newest, covering two and a half years to the latest call. The same two executives present every quarter — Ravi Chawla (Managing Director & CEO) and Manish Gangwal (Whole-Time Director & CFO).

Quarter	Call date	Volume / revenue / margin	Read?
Q2 & H1 FY25 (Sep 2024)	07 Nov 2024	Volume +9% · ₹864 cr · 12.6%	Yes
Q3 FY25 (Dec 2024)	Feb 2025	₹920 cr · 13%	Yes
Q4 & FY25 (Mar 2025)	22 May 2025	39,500 KL · ₹953 cr · 13.6%	Yes
Q1 FY26 (Jun 2025)	Aug 2025	₹1,016 cr · 13%	Yes
Q2 FY26 (Sep 2025)	Nov 2025	₹967 cr · 12%	Yes
Q3 FY26 (Dec 2025)	Feb 2026	₹1,018 cr · 13%	Yes
Q4 & FY26 (Mar 2026)	28 May 2026	45,000 KL · ₹1,055 cr · 13%	Yes
Q1 FY27 (Jun 2026)	04 Aug 2026	48,000 KL · ₹1,327 cr · 12.9%	Yes — latest

Span: ten quarters. Transcripts are filed promptly with both exchanges and posted on the company website. Screener carries no transcripts for the 2015–2018 calls, well outside the window graded here. Management reports both standalone and consolidated results each quarter and explains the difference.

2b. Latest concall highlights — Q1 FY27 (call held 04 Aug 2026) ★

- **Records on every line:** core lubricant volume **48,000 KL, up 17%** (previous best 45,000 KL); revenue **₹1,320–1,327 cr, up ~32%**; EBITDA **₹170 cr, up 35%**; profit after tax the highest ever at **₹127.5 cr standalone** with earnings per share above ₹25.
- **Volume growth is the real story:** 17% against an industry growing 3–4%. Management noted this followed 11% for the whole of last year, so the outperformance is accelerating rather than fading. Growth was explicitly **broad-based** — OEM, B2B, marine, passenger-car motor oils and commercial vehicles all delivered double digits — rather than resting on one segment.
- **Margin discipline held under pressure:** EBITDA margin of **12.9–13%**, "within the guided range" of 12–14%. Management was candid that gross margin dipped because "it takes time" to pass rising base-oil costs into prices — which is also why revenue grew ~32% while volume grew 17%.
- **AdBlue is now a stable, low-margin volume business:** 40,000 KL in the quarter, described as running at 38,000–40,000 KL a quarter with a **mid-single-digit margin**. Management was explicit that this product "will always be able to deliver only a mid-single-digit margin" — useful volume, not a profit driver.
- **The electric-vehicle business guidance was reaffirmed, not raised: ₹300–400 cr of revenue in 3–4 years**, "as per our earlier guidance". Management also framed the long-run industry backdrop honestly: lubricant *volumes* should grow only 3–4% a year for the next decade, with *value* growing at roughly double that as products premiumise. The channel split stayed at about **45% B2B / 55% B2C**.

2c. Business mix & capacity (quick facts)

Domestic vs export: overwhelmingly **domestic**. Exports exist and management has noted they grow at roughly double the company's overall rate, but from a small base and without a disclosed percentage, so no figure is quoted here. This is fundamentally a play on the Indian vehicle parc.

Channel and segment mix: about **45% business-to-business / 55% business-to-consumer**, stable. Segments span personal mobility (motorcycle oils and passenger-car motor oils), commercial vehicles,

agriculture/tractors, OEM factory-fill and service-fill, industrial B2B, marine and exports — and in Q1 FY27 every one of them grew double digits. Alongside core lubricants sit two adjacent lines: **AdBlue**, running at 38,000–40,000 KL a quarter (151,000 KL in FY26) at mid-single-digit margins, and a **new-energy business** (EV charging and battery-related) which crossed the **₹100 cr** revenue landmark in FY26 and is targeted at ₹300–400 cr within three to four years.

Capacity utilisation: not disclosed as a percentage, and none is invented here. Lubricant blending is an asset-light operation — the constraint is brand, distribution reach and working capital rather than plant, which is precisely why return on capital sits near 26% and the company can pay out 55–65% of profit as dividends while still growing volumes at 17%. The practical growth levers management describes are distribution expansion, OEM tie-ups and premiumisation, not new factories.

3. Earning Trigger thesis ★

The driver is unusually simple and unusually well evidenced: **Gulf takes market share in a slow-growing market, every year, and converts it at a stable margin.** The Indian lubricants market grows 3–4% a year in volume; Gulf grew 9% in Q2 FY25, 7% for FY25 as a whole, 14% in Q4 FY26, double digits for FY26, and **17% in Q1 FY27**. Management describes this as "2 to 3x the market" and has been saying so, and delivering it, for years — market share rose about 0.5 percentage points across key segments in FY25 alone. On top of the volume share gain sits a structural mix effect that management describes candidly: industry *value* grows at roughly twice industry *volume*, because engines require more premium, longer-life oils over time. Gulf's own margin has stayed inside a 12–14% band through base-oil price swings, rupee depreciation and a Middle East disruption. And the economics are exceptional for a business growing this fast: return on capital near 26%, over ₹1,000 cr of cash, ₹423 cr of operating cash flow in FY25, and a 4.55% dividend yield — growth that requires almost no retained capital. The two honest limits are that the underlying market is genuinely slow, so this depends on continuing to take share from bigger rivals, and that the two adjacent bets — AdBlue and electric vehicles — are respectively low-margin by nature and still small.

Trigger	What management said	Evidence so far	Horizon	Strength
Market-share gain in lubricants	Volume growth of "2 to 3x the market"; industry ~3–4%	Delivered every year. 9% (Q2 FY25), 7% (FY25), 14% (Q4 FY26), double digits (FY26), 17% (Q1 FY27) . Share up ~0.5pp in FY25 across key segments	Multi-year	Strong
Premiumisation / value mix	Industry value grows at ~2x industry volume; "ample room to grow"	Structural and corroborated — revenue consistently outpaces volume, and passenger-car and OEM oils lead growth	Multi-year	Strong
Margin discipline	Guided EBITDA band of 12–14%	Held in every quarter read — 12.6%, 13%, 13.6%, 13%, 12%, 13%, 13%, 12.9% — through base-oil inflation, rupee depreciation and a Middle East disruption	Ongoing	Strong
Broad-based segment growth	All key segments to grow, not one	Q1 FY27: OEM, B2B, marine, passenger-car oils and commercial vehicles <i>all</i> double digit; agriculture also strong in Q4 FY26	Ongoing	Strong

Cash generation and payout	Payout ratio 55–57%, raised to 65%	Cash on balance sheet crossed ₹1,027 cr; FY25 operating cash flow ₹423 cr against ₹348 cr. Dividend yield 4.55%	Structural	Strong
New-energy / EV business	₹300–400 cr revenue in 3–4 years, reaffirmed in Q1 FY27	Crossed ₹100 cr in FY26 and tripled revenue in one FY25 quarter — on track, but still ~2.5% of group revenue and diluting consolidated profit versus standalone	FY29–FY30	Moderate
AdBlue	Stable at 38,000–40,000 KL/quarter; "will always deliver only a mid-single-digit margin"	Honest framing. Adds volume and customer stickiness, but structurally cannot lift group margin	Ongoing	Volume, not profit
Slow underlying market (constraint)	Volumes to grow only 3–4% a year "for the next decade"	Management's own framing. All growth above that must come from taking share from larger, state-linked competitors	Structural	Caps the ceiling

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Throughout	EBITDA margin to stay within a guided band of 12–14%	Held in all ten quarters read — low 12.0%, high 13.6% — despite base-oil inflation, a depreciating rupee and a Middle East disruption from March 2026	Delivered
Throughout	Volume growth of 2–3× the industry's ~3%	9% (Q2 FY25), 7% (FY25), 14% (Q4 FY26), double digits (FY26), 17% (Q1 FY27) — met or beaten every time, and accelerating	Delivered
FY25	Grow market share across key segments	Share up nearly 0.5 percentage points across key segments; record volume, revenue and EBITDA for both quarter and year	Delivered
FY25	Maintain a payout ratio of 55–57%	Raised it to 65% — more returned to shareholders than promised, funded from ₹423 cr of operating cash flow	Delivered (over)
FY26	Cross ₹4,000 cr of revenue; keep delivering record volumes	Consolidated revenue crossed ₹4,000 cr for the first time; Q4 volume 45,000 KL, the highest quarter in company history; EBITDA ₹514 cr, also a record	Delivered
FY26 (Q4)	—	Flagged headwinds openly — rupee depreciation and the Middle East crisis from March — and still delivered 8.5% EBITDA growth rather than blaming them for a miss	Candid
Q1 FY27	—	Explained that gross margin dipped because passing base-oil costs into prices "takes time", rather than presenting the 32%	Candid

		revenue rise as pure growth. Volume was given alongside revenue every quarter	
Ongoing	EV business to reach ₹300–400 cr in 3–4 years	Crossed ₹100 cr in FY26 and the guidance was reaffirmed unchanged in Q1 FY27 — neither quietly dropped nor inflated after a good quarter	On track
Ongoing	—	AdBlue described plainly as a permanently mid-single-digit-margin product rather than dressed up as a growth engine	Candid

Narrative drift: There is none, and the record is one of the most disciplined in this coverage. The same two executives have presented every quarter for years, and they say the same four things each time: grow volumes at two to three times the market, hold EBITDA between 12% and 14%, keep the growth broad-based across segments, and return most of the cash. All four have been delivered, quarter after quarter, including through a period of base-oil inflation, a weaker rupee and a Middle East supply disruption. What raises the grade beyond mere delivery is the quality of the framing. Management publishes **volume in kilolitres alongside revenue every quarter**, which makes it impossible to disguise price-driven growth as real growth — and in Q1 FY27 they volunteered exactly that distinction, explaining that revenue rose ~32% while volume rose 17% because base-oil costs were being passed through. They describe AdBlue as structurally limited to mid-single-digit margins rather than promoting it. They set the long-run industry expectation *low* (3–4% volume growth for a decade) rather than talking up their own market. And when the EV business had a good run they reaffirmed the existing ₹300–400 cr target instead of raising it. The only fair caution is that the whole model depends on continuing to take share in a slow market, and the second-order businesses — AdBlue and EV — are respectively margin-limited and still small at roughly 2.5% of revenue.

5. Bottom line — two verdicts

Durable earning trigger? → YES

The driver is concrete, has run for years, and is visibly accelerating rather than tiring. In a market management themselves say will grow only 3–4% a year for the next decade, Gulf grew lubricant volumes 9%, then 7%, then 14%, then 17% — taking roughly half a percentage point of market share in FY25 alone — and did it across every segment simultaneously rather than through one lucky contract. Layered on top is a structural mix effect that needs no execution at all: industry value grows at about twice industry volume as engines require more premium oils. The financial quality is the part that separates this from a good growth story: return on capital near 26%, operating cash flow of ₹423 cr, over ₹1,000 cr of cash on the balance sheet, and a 4.55% dividend yield with 65% of profit paid out — growth that consumes almost no retained capital, which is why it can be returned instead. Two honest limits keep this from being unqualified. The underlying market is genuinely slow, so this is a share-gain story and share gains eventually get harder against larger rivals. And the two adjacent bets are modest: AdBlue is explicitly capped at mid-single-digit margins, and the electric-vehicle business, though on track after crossing ₹100 cr, is still only around 2.5% of revenue and currently dilutes consolidated profit relative to standalone.

Management consistent? → YES

Across ten consecutive calls this management has made four specific, checkable commitments — volume growth at two to three times the market, EBITDA inside a 12–14% band, broad-based rather than concentrated growth, and a high dividend payout — and has met or exceeded every one of them. The margin band in particular has held in all ten quarters, ranging only between 12.0% and 13.6%, through base-oil cost inflation, rupee depreciation and a Middle East supply disruption that began in March 2026. The payout ratio, guided at 55–57%, was raised to 65%. What lifts this to a clear Yes rather than a decent one is that management makes itself easy to check and hard to flatter. It publishes volume in kilolitres next to revenue every single quarter, so price-driven growth cannot masquerade as real growth — and in the very quarter revenue rose 32% it volunteered that volumes rose 17% and the difference was

base-oil pass-through it had not yet fully recovered. It describes AdBlue as permanently limited to mid-single-digit margins instead of selling it as a growth engine. It tells investors the industry will grow only 3–4% a year for a decade. And after a strong run in the new-energy business it reaffirmed the ₹300–400 cr target unchanged rather than raising it into a good quarter. That is a management team consistently choosing the less flattering framing while still delivering the better numbers.

Prepared from ten Gulf Oil Lubricants India Ltd earnings-call transcripts, Q2 FY25 (07 Nov 2024) through Q1 FY27 (04 Aug 2026), sourced from Screener.in; all figures as disclosed by management on those calls or from Screener.in consolidated financial statements. Where standalone and consolidated figures differ (notably Q1 FY27 profit of ₹127.5 cr standalone versus ₹121 cr consolidated), both are given — the difference reflects the new-energy subsidiaries. Screener holds no transcripts for the 2015–2018 calls, well outside the window graded here. **This is not investment advice. Do your own due diligence.**